10.2 Audit Of Share Capital

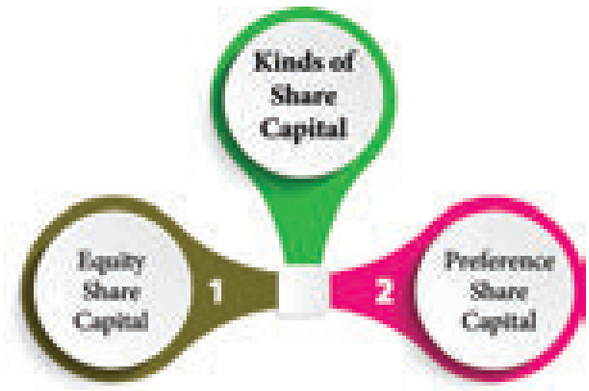
Share capital means capital raised by the company by issue of shares. This issue of share capital should be audited to verify the compliance of requirements and provisions of Companies Act.

10.2.1. Meaning of Share Capital

A company may meet its fund requirements either through raising share capital or through borrowings. The company does a proper financial analysis before taking such a decision. The funds raised through issue of shares is termed as share capital.

10.2.2. Kinds of Share Capital

The share capital of the company is of two kinds, namely Equity share capital and Preference share capital.



1. Equity Share Capital

Equity share capital means all share capital, which is not preference share capital and called as the ordinary share capital of the company.

2. Preference Share Capital

Preference share capital means that part of the issued share capital of the company which either carries or would carry a preferential right with respect to payment of dividend and a preferential right of repayment in case of winding up or repayment of capital. Apart from these two preferential rights, preference shares can be of participating or non-participating type depending upon their right to participate in dividend payment with capital.

10.3 Audit of Share Capital of a New Company (or) Fresh Issue of Shares

The first function of the Company after incorporation was to raise funds. The funds can be raised either by issue of securities or by loan or borrowings. Section 23 of Companies Act, 2013 makes a distinction between public and private company as far as raising funds is concerned.

Section 23 of Companies act, 2013 provides that:

Public company my raise a fund or issue securities, by:

1. Issue of prospectus to public either by Initial Public Offering **(IPO) or** Follow on Public Offer **(FPO)**, or
2. Private placement, or
3. Right issue
4. Bonus issue.

Private companies may raise fund or issue securities, by:

1. Right issue
2. Bonus issue
3. Private placement.

10.3.1. Meaning of Fresh Issue of Shares

Fresh issue of shares refers to the shares issued through Initial Public Offering (IPO).

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